INVESTMENT SCREENING REPORT

San Mateo & surrounding rental property report

A decision-oriented screen for near-term short-term rental use and eventual long-term operation, with a preference for multifamily assets and positive cash flow.

PREPARED FOR
Jimmy & Mandy

MARKET WINDOW
October 2026

COVERAGE
San Mateo County + nearby

> Desktop underwriting only. Listing status, rent rolls, zoning, short-term rental eligibility, financing, insurance, taxes, and physical condition require verification before reliance or an offer.

01 The opportunity is real, but leverage is the constraint

Strong Peninsula rents do not automatically produce positive cash flow at current asking prices. In the conservative screen, one candidate is near debt break-even at 25% down; none reaches a 1.20x debt-service coverage ratio (DSCR).

1.04x

Best base-case DSCR

122 N Claremont at 7.25%, using published city rent benchmarks for its 3BR + 2BR mix.

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Clear 1.20x

Every screened candidate needs a lower basis, more equity, higher verified income, or lower expenses.

35%

Equity for lead to hit 1.20x

Approximate down payment for 122 N Claremont under the model, before closing and reserves.

Recommendation

Prioritize 122 N Claremont for agent confirmation and a physical/legal review. Keep 60 Paloma and 3085/3087 William as secondary probes. Do not underwrite short-term rental revenue until the exact parcel, primary-residence facts, license availability, insurance, and host model are cleared.

What would change the conclusion

- A negotiated basis near $1.04M for 122 N Claremont.
- Verified in-place rents above the market proxies used here.
- Seller financing, assumable debt, or a materially lower blended rate.
- An owner-occupied/hosted operating plan that is legally eligible.
- Demonstrated short-term rental net income after platform fees and turnover.
- Lower property-specific tax, insurance, maintenance, or utility burden.

> Positive cash flow means net operating income after vacancy and recurring operating costs exceeds annual principal and interest. This screen excludes income tax benefits, appreciation, closing costs, renovation, furnishing, and reserves.

02 Five listings deserve immediate verification

1 Lead

122 N Claremont St, San Mateo — $1.199M duplex

Front 3BR/2BA (~1,515 sq ft) plus rear 2BR/1BA (~792 sq ft). Lowest San Mateo basis among verified local candidates and the only modeled asset near debt break-even. Verify legal unit status, separate utilities, actual rents, condition, parking, and short-term rental eligibility.

2 Income

315 Grand Blvd, San Mateo — $1.950M, four units

Three studios plus one 2BR/1BA. Published scheduled rent is $9,965/month and pro forma is $10,885/month. The explicit rent roll is valuable for diligence, but the price produces weak leveraged coverage under either figure.

3 Basis

3085 & 3087 William Ave, North Fair Oaks — $1.200M duplex

Two 2BR/1BA units, occupied month-to-month; listing describes ratio utility billing. The basis is compelling relative to central San Mateo, but Redwood City rent proxies still leave a coverage gap. Verify jurisdiction, rent-control exposure, tenant ledgers, and county short-term rental rules.

4 Cap rate

60 Paloma Ave, Pacifica — $2.188M multifamily

Earlier market data showed a 5.68% cap rate, the strongest stated yield in this set. At 25% down, that NOI still screens below debt service. Pacifica short-term rental rules are strict and coastal-zone implementation requires parcel-level confirmation.

5 Fourplex

94 E 39th Ave, San Mateo — $2.048M, four 1BR units

Four roughly 630 sq ft 1BR/1BA units with published rents around $2,275–$2,375. A clean unit mix, but third-party materials conflict on cap rate (3.41% versus 4.00%), making source documents and expense statements essential.

> Order is a screening priority, not an investment recommendation. Listing status and pricing were observed October 10, 2026 and may have changed.

03 The pipeline broadens outside central San Mateo

PROPERTY	TYPE / KNOWN FACTS	ASK	SCREENING VIEW
515 S Fremont, San Mateo	Triplex; 6,023 sq ft lot; 1920	$1.799M	Confirm unit mix, legal status, and rent roll before modeling.
1228 Maple, San Mateo	Multifamily; 4BR/1.5BA; 2,356 sq ft	$1.895M	Public detail does not establish rentable unit mix.
1440 Valota, Redwood City	Multifamily; 1957; 9,172 sq ft lot	$1.500M	Potential value-add; obtain configuration and occupancy.
1815 Woodland, East Palo Alto	Duplex/multifamily; 1957; 5,500 sq ft lot	$1.060M	Low basis; jurisdiction, tenant, and insurance diligence are central.
1807 Woodland, East Palo Alto	Duplex; MLS mirror	$1.089M	Verify current status and complete income/expense data.
28 Shakespeare, Daly City	Duplex; 4BR/3BA; 1,774 sq ft	$1.100M	Promising basis; public unit allocation is insufficient.
63 Werner, Daly City	5BR/5BA; 4,090 sq ft	$1.799M	Confirm legal units and realistic rent by unit.
2148 Ralmar, East Palo Alto	4 units: two 1BR + two 2BR	$998K sold	Closed Apr. 3, 2026; use as a basis comp, not availability.

Why the outer-ring candidates matter

A lower acquisition basis can matter more than a premium rent postcode. East Palo Alto, North Fair Oaks, Daly City, and Pacifica candidates may improve yield, but they also increase jurisdiction-specific tenant, insurance, and short-term rental diligence.

Agent request package

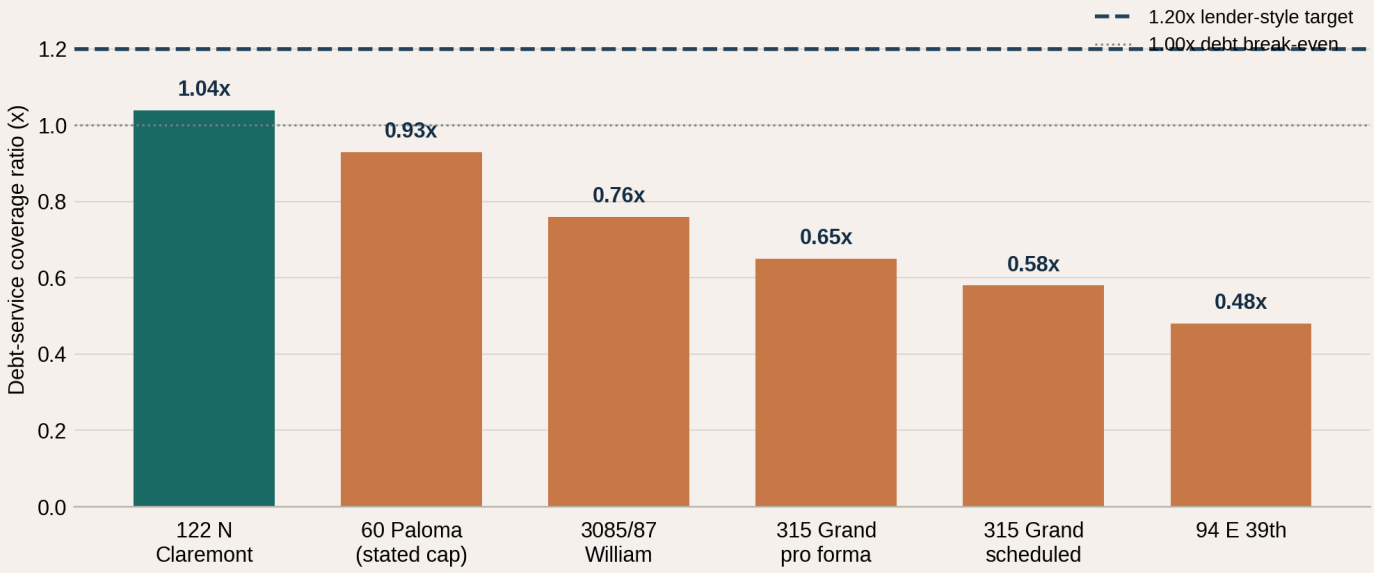
Ask for the current MLS sheet, trailing-12 income and expenses, current rent roll and leases, utility allocation, insurance loss runs, permits/Certificate of Occupancy, seller disclosures, inspection history, and any open code cases. Third-party mirrors are discovery tools, not status confirmation.

04 At 7.25%, price discipline matters more than rent optimism

SCENARIO	GROSS/MO.	MODELED NOI	DEBT/YR.	DSCR	PRICE FOR 1.20X*
122 N Claremont	$9,566	$76,693	$73,614	**1.04x**	$1.041M
60 Paloma (stated cap)	—	$124,278	$134,334	0.93x	$1.687M
3085/87 William	$7,496	$56,060	$73,675	0.76x	$0.761M
315 Grand — pro forma	$10,885	$78,190	$119,722	0.65x	$1.061M
315 Grand — scheduled	$9,965	$69,026	$119,722	0.58x	$0.937M
94 E 39th	$9,300	$60,884	$125,739	**0.48x**	$0.826M

*Maximum purchase price at 25% down, 7.25%, and 1.20x DSCR, holding modeled NOI constant. It is a negotiation marker, not a valuation.

No screened candidate reaches 1.20x DSCR at 25% down and 7.25%



The base case uses 25% down, 30-year amortization, and 7.25% interest. For rent-derived cases: 5% vacancy, 5% maintenance, 7% management, property tax at 1.20% of price, and insurance at 0.35% of price. Utilities, capital expenditures, closing costs, and reserves are excluded. Paloma uses the published cap rate as NOI.

05 Rent strength helps, but does not erase the acquisition basis

Published rent snapshots

MARKET	1BR	2BR	MEDIAN / AVG.
San Mateo — Zumper	$3,299	$4,067	$3,839
San Mateo — RentCafe	$3,433	$4,463	$3,927
Redwood City — Zumper	$3,010	$4,328	$3,662
Redwood City — Apartments.com	$2,890	$3,748	—
Daly City — Zumper	$2,000	$3,300	$2,847
Belmont — Apartments.com	—	$3,768	—

How the model uses them

CLAREMONT

$9,566/month = San Mateo 3BR RentCafe benchmark ($5,499) + Zumper 2BR benchmark ($4,067). This is not an appraiser's rent opinion.

WILLIAM

$7,496/month = two Redwood City 2BR Apartments.com benchmarks ($3,748 each), selected as the more conservative published proxy.

E 39TH

$9,300/month = four units at the midpoint of published in-place rents ($2,275–$2,375).

Rate sensitivity on the lead candidate

122 N Claremont screens at approximately 1.07x DSCR at 6.99%, 1.04x at 7.25%, and 1.02x at 7.50%. A 51-basis-point rate swing changes annual debt service by roughly $3,700, but the asset still remains below a 1.20x target.

Furnished rent is not short-term rental net income

San Mateo furnished listings showed roughly $3,590–$4,590 for 1BRs and $4,270–$6,150 for 2BRs depending on term and move-in date. Those asks may support a medium-term strategy, but they do not establish occupancy, platform fees, cleaning expense, transient occupancy tax, furnishing cost, or legal eligibility.

> Rent sources use different inventories and methodologies. Underwrite the subject property from signed leases, current unit condition, and a broker/appraiser rent schedule; use portal figures only as a range check.

06

Short-term rental legality depends on the exact jurisdiction and host model

City of San Mateo

- Annual registration ($250) and business license required.
- Legal dwelling units may qualify; accessory dwelling units are prohibited.
- Unhosted rentals are capped at 120 days per year.
- Occupancy is two persons per bedroom, up to ten per property.
- Local contact must be able to respond within 60 minutes.

SB 9 units may not be rented for fewer than 30 days.

Unincorporated county

- Secondary guide reports STR legality only in the Coastal Zone under Ordinance 4777.
- Reported annual cap: 180 nights, with hosted nights treated differently.
- Reported 10% transient occupancy tax, permit fee, insurance minimum, and three-year permit term.
- Bayside non-coastal parcels are reported as 30+ day rentals only.

Confirm directly with the county using the parcel number; the cited summary is not the ordinance itself.

Burlingame

- Chapter 6.56 defines and regulates rentals under 30 days.
- Primary-residence and hosted/unhosted requirements materially limit pure investment use.
- Transient occupancy tax is addressed separately in Chapter 4.09.

Pacifica

- Ordinance 901-C.S. uses a citywide cap and primary-residence framework.
- Unhosted rentals are limited to 60 nights per year.
- Accessory dwelling units are ineligible; operators must be natural persons.
- Coastal-zone implementation was still subject to Coastal Commission action in 2026 reporting.

Practical implication

A non-owner-occupied, full-time vacation rental is not a safe default thesis. A hosted primary-residence model or 30+ day furnished rental may fit more jurisdictions, but neither should be assumed without a parcel-specific written determination.

Before counting one dollar of short-term rental income

1. Confirm the governing city or unincorporated county jurisdiction by assessor parcel.
2. Obtain written planning confirmation for the exact unit and host/occupancy model.
3. Confirm registration availability, annual night cap, parking, contact, insurance, and tax requirements.
4. Ask the lender, insurer, homeowners association, and existing tenants about restrictions.

07 A 30+ day bridge is operationally cleaner than an unverified vacation-rental thesis

PHASE 1

Close only on long-term economics

Require the acquisition to work under signed leases or supportable long-term market rents. Treat any short-term upside as optional until legally and operationally proven.

PHASE 2

Test furnished 30+ day demand

Consider traveling professionals, relocations, insurance displacement, or corporate stays where local rules distinguish them from rentals under 30 days.

PHASE 3

Operate the permitted model

If the parcel and host structure qualify, pilot one unit with separate profit-and-loss tracking before expanding.

The operating comparison

DIMENSION	SHORT TERM (<30 DAYS)	MEDIUM TERM (30+ DAYS)	LONG TERM
Regulatory exposure	Highest; license, caps, host rules, TOT	Often lower, but still verify zoning/tenancy law	Lowest STR exposure; full landlord rules apply
Revenue volatility	High; nightly rate and occupancy	Medium; term and season matter	Lower; lease-based
Operating load	High; messaging, turns, reviews	Medium; furnishing and placement	Lower; maintenance and leasing
Cost stack	Platform, cleaning, supplies, utilities, TOT	Furnishing, utilities, vacancy, placement	Vacancy, repairs, management, turnover
Evidence needed	Legal permit + comparable booked performance	Executed leases / corporate demand	Rent roll + market rent survey

State reporting makes informal operation riskier

California's Short-Term Rental Facilitator Act of 2025 (SB 346), effective January 1, 2026, allows conforming local programs to obtain platform listing information and requires specified license and tax-certificate display. The direction of travel is more address-level visibility, not less.

Go / no-go gates for a pilot

GO only if

- Written jurisdictional clearance is in hand.
- Insurance explicitly covers the use.
- Base-case net revenue covers all incremental costs.
- One operator owns calendar, turns, guest issues, and records.

STOP if

- The thesis relies on an ADU or non-primary residence that rules exclude.
- Licenses are capped or unavailable.
- Existing tenants or lease terms conflict.
- The deal needs peak-season nightly rates to break even.

08 Real-estate-professional status supports tax planning, not weak underwriting

Mandy's planned participation may affect federal passive-activity treatment, but the property should be selected on legal and operating merit. Tax status is a separate substantiation project, not a source of property cash flow.

Federal threshold at a glance

- More than 750 hours in real-property trades or businesses during the tax year.
- More than half of the individual's personal-service time must be in those activities.
- Material participation is a separate test for the rental activities.

A spouse's hours generally do not satisfy the 750-hour or more-than-half tests for the claimant, though spouse participation can matter to material participation. Confirm treatment with a tax adviser.

Documentation discipline

- Contemporaneous calendar with activity, property, duration, and purpose.
- Separate operating records by property and activity.
- Written management responsibilities and decision logs.
- Election and grouping decisions reviewed before filing.

Investor-type activities may not count the same way as direct operating work. Keep detailed records from day one.

Underwriting rule

Approve the acquisition without assigning value to tax losses, accelerated depreciation, appreciation, or a future refinance. Then model tax outcomes separately with a CPA using the final entity, use, and participation facts.

Ownership and operating questions to settle before closing

1. Who will hold title and sign the loan?
2. Will any unit be owner-occupied or used as a primary residence?
3. Who will perform leasing, guest, maintenance, bookkeeping, and compliance work?
4. Will the activity transition from short/medium term to long term, and when?
5. Does the lender permit the intended use?
6. Does the insurance policy cover each operating phase?
7. How will deposits, transient taxes, and unit-level income be tracked?
8. What reserve policy applies for capital work and vacancy?

> This report does not provide tax or legal advice and intentionally does not repeat the separate tax-strategy analysis. Final structure and participation treatment should be reviewed with California real-estate counsel and a tax professional.

09 Four diligence tracks should run before an offer becomes non-contingent

INCOME & TENANTS

Prove every dollar and obligation

- Rent roll reconciled to bank deposits and leases.
- Trailing-12 and trailing-36 operating statements.
- Security deposits, arrears, concessions, and side letters.
- Tenant estoppels; local rent stabilization and relocation exposure.
- Market rent survey by unit condition, parking, and utilities.

LEGAL & USE

Prove every unit and planned use

- Assessor parcel, zoning, permits, Certificate of Occupancy.
- Open code cases and unpermitted additions or conversions.
- Written short-term / 30+ day rental determination.
- License availability, primary-residence evidence, and annual cap.
- SB 9, ADU, coastal-zone, or deed restrictions.

PHYSICAL

Price deferred work before pricing the deal

- Roof, foundation, drainage, sewer lateral, electrical, plumbing, HVAC.
- Termite, mold/moisture, lead/asbestos where applicable.
- Unit interiors, egress, fire/life safety, parking, accessibility.
- Separate meters and owner-paid utilities.
- Five-year capital plan with bids for near-term items.

CAPITAL & RISK

Lock financing and insurance to the actual plan

- Lender quote with DSCR, reserves, prepayment, and use restrictions.
- Property and liability quotes reflecting multifamily and STR/MTR use.
- Earthquake and flood choices; loss history.
- Closing costs, initial repairs, furnishings, working capital.
- Entity and umbrella coverage reviewed by counsel/broker.

Offer discipline

Keep financing, inspection, appraisal, insurance, rent-roll/lease, and governmental-use contingencies. Do not waive legal-unit or rental-use confirmation. If long-term DSCR, legal use, capital reserves, or bindable insurance fails, reprice or stop.

10 The screen is transparent, conservative, and intentionally incomplete

Financing

Base case: 25% down, 30-year amortizing loan, 7.25% fixed interest. Sensitivity points use 6.99% and 7.50%, bracketing mortgage-rate illustrations observed on candidate pages. Annual debt service is calculated from the standard amortizing-payment formula. Financing fees and points are excluded.

Income and operating costs

Where a listing publishes scheduled or pro forma rent, that figure is shown. Otherwise, long-term gross rent uses cited portal benchmarks matched to disclosed bedroom mix. For rent-derived cases, net operating income subtracts 5% vacancy, 5% maintenance, 7% management, property tax at 1.20% of price, and insurance at 0.35% of price. Utilities, administration, landscaping, pest control, turnover, legal/accounting, and capital reserves are not included because property-specific amounts were unavailable. Their omission makes the screen optimistic.

Coverage

DSCR equals modeled net operating income divided by annual principal and interest. A 1.00x result means NOI just covers debt service before capital expenditures and income taxes. A 1.20x marker is used as a lender-style safety threshold, not as a quote from a specific lender.

Property status and comparability

Listings and portal data were observed on October 10, 2026. Some came from broker or MLS mirrors rather than the listing broker's current MLS feed. “Sold” is explicitly labeled; every other candidate still requires agent verification. Portal rents are asking-market indicators, not executed leases or appraisals. Conflicting figures are preserved rather than silently reconciled.

What the screen does not model

- Short-term rental nightly rates or occupancy
- Platform fees, cleaning, supplies, utilities, and TOT
- Furnishings, renovation, closing costs, and reserves
- Depreciation, passive-loss treatment, and income tax
- Appreciation or exit cap rate
- Refinance proceeds or interest-rate forecasts
- Tenant buyouts, relocation, or rent-control impacts
- Earthquake, flood, title, environmental, or litigation risk

Interpretation

This is a triage tool: it identifies where better information could plausibly change the answer. It is not an appraisal, inspection, legal opinion, loan approval, insurance binder, or investment recommendation.

Recommended next action

Have a local multifamily agent retrieve current MLS packages for the five priority properties, then update the model from actual unit rents, trailing expenses, loan quotes, and written use determinations. Re-screen before touring the broader pipeline.

11 Property sources

All pages were reviewed or captured in the research set on October 10, 2026. Current availability must be checked in MLS.

San Mateo

1. Redfin — 122 N Claremont St. Price, duplex layout, size, MLS identifier, mortgage-rate illustration.
2. Redfin — 515 S Fremont St. Price, multifamily classification, lot and vintage.
3. Redfin — 1228 Maple St. Price, rooms, size, lot and vintage.
4. Weichert — 315 Grand Blvd. Four-unit mix, scheduled and pro forma rents, building data.
5. Compass — 94 E 39th Ave. Four-unit mix, rents, cap rate and gross-rent multiplier.
6. LoopNet offering memorandum — 94 E 39th Ave. Alternative cap-rate and gross-rent-multiplier figures.

Redwood City / North Fair Oaks

7. Redfin — 1440 Valota Rd. Price, multifamily classification, vintage and lot.
8. MLS mirror — 3085 & 3087 William Ave. Duplex unit mix, occupancy and utility-billing description.

East Palo Alto / Daly City

9. Redfin — 1815 Woodland Ave. Price, multifamily classification, vintage and lot.
10. MLS mirror — 1807 Woodland Ave. Duplex and price.
11. Compass — 2148 Ralmar Ave. Four-unit mix and April 2026 closing.
12. Homes.com — Daly City duplex results. 28 Shakespeare and 63 Werner discovery data.

> Third-party portals can retain stale or incomplete records. Exact MLS status, offering memoranda, leases, and seller disclosures control over this desk screen.

12 Market, regulatory, and legal sources

Rent market

1. Zumper — San Mateo rentals. Median, 1BR and 2BR asking-rent snapshot.
2. RentCafe — San Mateo market trends. Average rent and bedroom-level averages.
3. Zumper — Redwood City rentals. Median, 1BR and 2BR asking-rent snapshot.
4. Apartments.com — Redwood City guide. 1BR and 2BR averages.
5. Zumper — Daly City rent research. Median, 1BR and 2BR figures.
6. Apartments.com — Belmont 2BR rentals. 2BR average.
7. Apartments.com — Daly City 2BR rentals. 2BR average.
8. Zumper — furnished San Mateo / Sugarloaf and Shoreview. Furnished asking-rent examples.

Short-term rental rules

9. City of San Mateo — STR program. Registration, eligible units, annual cap, occupancy, parking and local-contact overview.
10. City of San Mateo — Ordinance 2021-6. Enacting text.
11. City of San Mateo — SB 9 ordinance. Rental-duration restriction for SB 9 units.
12. BNBCalc — unincorporated San Mateo County guide. Secondary summary; county confirmation required.
13. Burlingame Municipal Code ch. 6.56. Short-term rental rules.
14. Burlingame Municipal Code ch. 4.09. Transient occupancy tax.
15. CalMatters / Palo Alto Online — Pacifica coastal STR context.
16. California Coastal Commission — Pacifica exhibits.
17. StaySTRA — SB 346 summary and PublicCEO — local-government perspective.

> Rules can change and can turn on primary residence, parcel location, unit type, coastal-zone status, and operating details. Confirm with the responsible planning and tax offices before acquisition or marketing.